UPSC EPFO · APFC RECRUITMENT TEST · FOUNDATION LAYER · MODULE 6 · CHAPTER F6.7

Auditing — Concepts, Scope, Types and the Audit Report

Chapter F6.7 — The Second Half of the Syllabus Head, and the One Topic in This Module with Direct PYQ Evidence

Module	**Foundation Layer — Module 6 — Accounting, Auditing & Statistics**
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Topic	**Official syllabus head 5 — Accounting and Auditing**
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NOTE · HOW TO USE THIS DOCUMENT

The official syllabus head is **"Accounting and Auditing"**. Six chapters have covered the first word; this one covers the second.

It also carries the only **direct PYQ evidence** in the whole of Module 6. The 2023 paper tested auditing through a *"which one is **not** correct"* item on the **scope of audit** (PYQ-DERIVED, Blueprint §8). Section 2 is therefore written to answer that exact question type, and it is the section to read twice.

HIGH YIELD · WHY AUDITING IS WORTH MORE THAN ITS PAGE COUNT SUGGESTS

Three reasons this chapter earns ★★★★☆ despite being mostly definitional.

1. **Direct PYQ evidence**, above — the only place in Module 6 where I can point at a tested item rather than estimate
2. Blueprint §5.4 reports **auditing among the topics candidates found *easier*** in 2025. Easy and examined is the best combination on the board
3. It is **finite**. The opinions are four, the sections are six, the distinctions are five. Closed sets are where marks are cheap — the same argument that made F6.1 §6 worth mastering

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0. How This Chapter Works

STUDY SESSION · CHAPTER F6.7 — THE SIX SESSIONS

1. **Session 1** — What auditing is, and what it is not (§1) ★★★★☆
2. **Session 2** — The scope of audit (§2) ★★★★★ **the PYQ-evidenced section**
3. **Session 3** — Types of audit, and the three "internals" (§3) ★★★★☆
4. **Session 4** — The audit process: vouching, verification, evidence (§4) ★★★★★
5. **Session 5** — The audit report and the four opinions (§5) ★★★★★
6. **Session 6** — Statutory framework: the Companies Act and the CAG (§6) ★★★★☆

Then 30 graded questions in §7. About **three and a half days** at two hours.

1. Session 1 — What Auditing Is ★★★★★

1.1 The definition

Audit comes from the Latin *audire*, **to hear** — in early practice accounts were literally read aloud to those who had to approve them.

The working definition:

> An **independent examination** of financial information of any entity, whether profit-oriented or not, and irrespective of its size or legal form, when such an examination is conducted with a view to **expressing an opinion** thereon.

Three words in that definition do the work: **independent**, **examination**, **opinion**.

1.2 The objectives, and the one candidates get backwards

MUST MASTER · WHAT AN AUDIT IS PRIMARILY FOR

- **Primary objective:** to **express an opinion** on whether the financial statements give a **true

and fair view**

- **Secondary or incidental objectives:** the **detection and prevention of errors and frauds**

Almost every beginner assumes an audit exists to catch fraud. It does not — fraud detection is **incidental**. The auditor's product is an **opinion**, and an option naming fraud detection as the primary objective is wrong.

The distinction has a practical consequence that follows in §2: because the objective is an opinion rather than a guarantee, the auditor gives **reasonable** assurance, never absolute assurance.

True and fair view means the statements are free from **material** misstatement and reflect the substance of the entity's position — not that every figure is exact to the rupee.

1.3 Auditing distinguished from two neighbours

	Accounting	Auditing
Nature	**Constructive** — records are built	**Analytical** — records are examined
When	**Continuous** through the year	**Periodic**, after the accounts are drawn
By whom	An accountant, need not be qualified as an auditor	Must be a **Chartered Accountant**
Relationship	—	**Audit begins where accounting ends**

	Audit	Investigation
Purpose	General — to form an opinion	**Specific**, for a defined purpose
Requirement	Often **statutory**	Usually **voluntary**
Period	A defined accounting period	**Not confined** to any period
Depth	Reasonable, using test checks	**Deeper**, often exhaustive

CHECK YOURSELF · SESSION 1

1. Give the definition of audit and the three key words in it
2. State the primary and the secondary objectives. Which one do beginners reverse?
3. What does "true and fair view" mean, and what does it not mean?
4. Give four differences between accounting and auditing
5. Give three differences between an audit and an investigation

2. Session 2 — The Scope of Audit ★★★★★

Read this section twice. It is the one part of Module 6 where I can point to a tested question type rather than estimate: the 2023 paper used a *"which one is not correct"* item on audit scope.

2.1 What determines the scope

The scope of an audit is determined by **three** things together:

1. The **terms of engagement**
2. The requirements of **relevant legislation**
3. The **pronouncements of the ICAI**

> **MUST MASTER · THE TERMS OF ENGAGEMENT CANNOT CUT DOWN THE SCOPE**
>
> The terms of engagement **cannot restrict** the scope of an audit in relation to matters prescribed by legislation or by ICAI pronouncements.
>
> This is the crucial asymmetry. A client may ask for **more** than the law requires; a client may **not** contract for **less**. If the engagement letter purported to exclude something the statute demands, the statute prevails.
>
> So an option saying "the scope of an audit is determined solely by the terms of engagement" or "the client may limit the scope by agreement" is **wrong**.

2.2 What the auditor does and does not undertake

Within scope:

- The audit is organised to cover **adequately all aspects** of the enterprise relevant to the

financial statements

- The auditor assesses the **reliability and sufficiency** of the information in the records
- He determines whether information is **properly disclosed** in the financial statements

Outside scope — and this is where the "not correct" options live:

MUST MASTER · FOUR THINGS AN AUDIT DOES NOT DO

1. **It does not guarantee absolute accuracy.** The auditor gives **reasonable** assurance
2. **The auditor expresses an OPINION; he does not CERTIFY correctness.** Opinion and certificate are different products, and the exam uses the words precisely
3. **The auditor is not an insurer or a guarantor.** He does not underwrite the truth of the accounts
4. **He is not expected to perform duties outside the scope of his competence.** He is not a valuer, an engineer or a lawyer, and where specialist judgement is needed he may rely on an expert

Each of these becomes a wrong option by simply removing the negative — "the audit guarantees the accuracy of the accounts", "the auditor certifies that the accounts are correct", "the auditor guarantees the absence of fraud". Learn the four negatives and you can invert them on sight.

2.3 Why an audit cannot give absolute assurance

The reasons are worth knowing, because they explain the negatives rather than merely asserting them:

- **Test checking** — an auditor examines a representative sample, not every transaction
- **Audit evidence is persuasive rather than conclusive** — it makes a conclusion probable, not certain
- **Internal control has inherent limitations**, including the possibility of management override and

collusion

- **Judgement** is unavoidable in areas involving estimates
- Practical **time and cost** constraints

> **"An auditor is a watchdog, not a bloodhound."**

From the **Kingston Cotton Mill** case. A watchdog raises an alarm on what it can reasonably observe; a bloodhound is sent hunting for concealed wrongdoing. The auditor's duty is reasonable care and skill, not detection of every fraud however well hidden.

Attribute it correctly if asked — Kingston Cotton Mill, not any of the company-law cases that tend to appear beside it in the options.

CHECK YOURSELF · SESSION 2

1. What three things determine the scope of an audit?
2. Can the terms of engagement narrow the scope? Can they widen it?
3. State the four things an audit does **not** do
4. Give four reasons why absolute assurance is impossible
5. Complete and attribute: "An auditor is a ___, not a ___"

3. Session 3 — Types of Audit, and the Three "Internals" ★★★★☆

3.1 Types of audit

Type	Basis
Statutory audit	Required by law — companies, banks, insurers
Internal audit	Conducted by the entity's own staff or an appointed internal auditor
Cost audit	**Section 148**, Companies Act 2013
Secretarial audit	**Section 204**, Companies Act 2013
Tax audit	**Section 44AB**, Income Tax Act 1961
Government audit	By the **Comptroller and Auditor General**
Propriety audit	Beyond legality — the **wisdom, faithfulness and economy** of expenditure
Performance audit	**Economy, efficiency and effectiveness** — the "three Es"
Management audit	Appraisal of managerial performance
Continuous / interim / final	Classification by **timing** rather than subject

3.2 Statutory audit versus internal audit

	Statutory (external) audit	Internal audit
Appointed by	The **shareholders** (members)	The **management**
Required by	Law, for all companies	**Section 138**, for prescribed classes only
Scope determined by	**Statute**	**Management**
Reports to	The **shareholders**	The **management or Board**
Status	An **independent outsider**	Ordinarily an **employee**

Appointed by, scope set by, and reports to - three rows that generate most questions

> **COMMON UPSC TRAP · WHO SETS THE SCOPE**
>
> The reliable wrong statement is *"the scope of a statutory audit is determined by the management"*.
>
> It is not. A statutory auditor's scope comes from **statute** — which is the whole point of §2.1, and the reason management cannot narrow it. Management sets the scope only of the **internal** audit, because the internal audit exists to serve management.

3.3 Internal check, internal control, internal audit

Three similar names, one containing the others.

Term	What it is
Internal check	An **arrangement of duties** such that no single person handles a transaction from beginning to end, so the work of one is automatically checked by another
Internal audit	An **independent appraisal** function operating within the organisation
Internal control	The **whole system** of controls, financial and otherwise, established by management to conduct business in an orderly manner, safeguard assets and secure the accuracy of records

> **MUST MASTER · INTERNAL CONTROL IS THE WIDEST OF THE THREE**
>
> **Internal control is the broadest term. Internal check and internal audit are both parts of it.**
>
> That single ranking answers the standard question "which of the following is the widest in scope". Note the direction: internal *check* is the narrowest — it is a technique of dividing duties, not a system.

> **CHECK YOURSELF · SESSION 3**
>
> 1. Under which sections are cost audit, secretarial audit and tax audit provided for?
> 2. Distinguish propriety audit from performance audit. What are the three Es?
> 3. Statutory versus internal audit — who appoints, who sets the scope, who receives the report?
> 4. Rank internal check, internal control and internal audit by breadth

4. Session 4 — The Audit Process ★★★★★

4.1 Planning and documentation

- **Audit programme** — a written plan setting out the procedures to be followed and by whom
- **Audit note book** — a record of queries, errors and points arising during the audit
- **Audit working papers** — the documentation supporting the auditor's conclusions

MUST MASTER · WORKING PAPERS BELONG TO THE AUDITOR

Audit working papers are the property of the AUDITOR, not of the client.

This is asked directly. The auditor may, at his discretion, make portions available to the client, but ownership and custody are his — they are the evidence of the work on which his opinion rests.

4.2 Routine checking and test checking

- **Routine checking** — verifying totals, postings, castings and balances: the mechanical accuracy of

the books

- **Test checking** — examining a **representative sample** rather than every transaction, and drawing a

conclusion about the whole from it

Test checking is what makes an audit feasible, and simultaneously what makes absolute assurance impossible (§2.3).

4.3 Vouching versus verification — the central distinction

	Vouching	Verification
What is examined	**Transactions** and their documentary evidence	**Assets and liabilities**
Relates to	Items passing through the **Profit and Loss Account**	Items appearing in the **Balance Sheet**
Question answered	Did this transaction occur, and is it properly recorded and authorised?	Does this asset **exist**, is it **owned**, **possessed**, correctly **valued** and properly **disclosed**?
Timing	Through the year	Normally at the **year end**
Includes valuation?	No	**Yes — verification includes valuation**

MUST MASTER · THE FIVE ELEMENTS OF VERIFICATION, AND THE VALUATION POINT

Verification of an asset covers five things: **existence, ownership, possession, valuation and disclosure.**

And the point that is tested: **valuation is part of verification.** An option offering valuation as something separate from, or excluded from, verification is wrong.

The clean way to hold the pair: **vouch a transaction, verify an asset.** Vouching looks at the P&L, verification looks at the balance sheet — which maps exactly onto F6.3's two destinations for ledger balances.

4.4 Audit evidence

Audit evidence must be **sufficient** (enough of it) and **appropriate** (relevant and reliable). It is **persuasive rather than conclusive** — which is the third reason in §2.3 for the absence of absolute assurance.

CHECK YOURSELF · SESSION 4

1. Whose property are the audit working papers?
2. Distinguish routine checking from test checking
3. Give four differences between vouching and verification
4. Name the five elements of verification. Is valuation one of them?
5. What two qualities must audit evidence have? Is it conclusive?

5. Session 5 — The Audit Report ★★★★★

5.1 The four opinions

This is a closed set of four, and the boundaries between them are decided by **two words**: **material** and **pervasive**.

Opinion	When it is given
Unmodified — also *unqualified* or *clean*	The statements give a true and fair view
Qualified	Misstatements are **material but NOT pervasive**; or evidence could not be obtained and the possible effects are material but not pervasive
Adverse	Misstatements are **material AND pervasive**
Disclaimer of opinion	The auditor **could not obtain** sufficient appropriate evidence, and the possible effects are **material and pervasive**

MUST MASTER · THE TWO-BY-TWO THAT GENERATES ALL FOUR

Do not memorise four definitions. Memorise a grid with two questions: **is the problem a misstatement or a lack of evidence?** and **is it pervasive or not?**

	Material but not pervasive	Material and pervasive
Misstatement found	**Qualified**	**Adverse**
Evidence unobtainable	**Qualified**	**Disclaimer**

So *pervasive* is what escalates a qualification, and the *nature of the problem* decides which way it escalates — to adverse if you know it is wrong, to a disclaimer if you cannot tell.

One more distinction the exam uses: an **emphasis of matter** paragraph draws attention to something already properly disclosed and is **NOT** a modification of the opinion. An option calling it a modification is wrong.

5.2 Who the report is addressed to

The audit report of a company is addressed to the **members (shareholders)**, not to the Board — because the auditor is appointed by the members and reports to them. This follows directly from the statutory versus internal audit table in §3.2.

CHECK YOURSELF · SESSION 5

1. Name the four opinions
2. Draw the two-by-two grid from memory
3. Which word escalates a qualified opinion, and into which two possibilities?
4. Is an emphasis of matter paragraph a modification of opinion?
5. To whom is a company's audit report addressed, and why?

6. Session 6 — The Statutory Framework ★★★★★

6.1 The Companies Act, 2013 sections

Section	Subject
139	**Appointment** of auditors, and **rotation**
140	Removal and resignation
141	**Eligibility, qualifications and disqualifications**
143	**Powers and duties**, including reporting of fraud
144	Services an auditor **may not render**
147	Punishment for contravention
148	**Cost** audit

MUST MASTER · THE FOUR STATUTORY FACTS MOST LIKELY TO BE ASKED

1. **Only a Chartered Accountant** may be appointed auditor of a company — or a firm where the majority of partners practising in India are qualified for appointment. **Section 141**
2. **Rotation under section 139(2)**, for prescribed classes: an **individual** auditor may hold office for **one term of five consecutive years**; an **audit firm** for **two terms of five consecutive years**
3. **Section 144** prohibits the auditor from rendering certain services to the same company — notably **internal audit**, accounting and book-keeping, actuarial services, investment advisory, and management services. The logic is independence: you cannot audit your own work
4. **Standards on Auditing** are issued by the **Auditing and Assurance Standards Board (AASB) of the ICAI**. Contrast F6.2 §1.3, where **accounting** standards are recommended by the **ASB** and prescribed by the **Central Government** under section 133

Note the section pairs that get swapped: **139 appointment / 141 qualifications / 143 duties / 144 prohibited services**. And from F6.2, **132 NFRA / 133 accounting standards**.

The **Companies (Auditor's Report) Order, 2020 — CARO 2020** requires the auditor to report on additional specified matters for the classes of company it covers.

6.2 The Comptroller and Auditor General

Item	Provision
Constitutional basis	**Articles 148 to 151**
Appointment	By the **President**
Duties and powers	**Article 149**
Reports on the Union	Submitted to the **President**, laid before **Parliament**
Examined by	The **Public Accounts Committee**

The CAG is described as the guardian of the public purse

The CAG conducts **propriety audit** — questioning the wisdom, faithfulness and economy of expenditure, not merely its legality — and **performance audit** against the three Es of economy, efficiency and effectiveness.

> WHY THIS EXISTS · WHY AN APFC SHOULD UNDERSTAND AUDIT, NOT JUST ACCOUNTING
>
> Two connections make this chapter operational rather than decorative for you.
>
> **First, the employer's audited accounts are your evidence.** F6.1 §1.3 made the point that an APFC determining dues under Section 7A reads the employer's books. Knowing what an audit does and does not establish tells you how much weight those books deserve — an unmodified opinion is **reasonable assurance on a true and fair view**, not a certificate that every wage entry is correctly classified. An employer who has misclassified wages to reduce contributions may well hold a clean audit report, because the misstatement was not **material** to the financial statements as a whole even though it is decisive for your assessment.
>
> **Second, your own role is the mirror image.** The auditor is a **watchdog, not a bloodhound** — he gives reasonable assurance and does not hunt concealed fraud. An APFC conducting a Section 7A inquiry *is* investigating: a **specific purpose**, **not confined to an accounting period**, and pursued in depth. That is precisely the audit-versus-investigation distinction in §1.3, and you sit on the investigation side of it.

CHECK YOURSELF · SESSION 6

1. Match sections 139, 141, 143 and 144 to their subjects
2. Who alone may be appointed auditor of a company, and under which section?
3. State the rotation limits for an individual auditor and for an audit firm
4. Name three services prohibited by section 144, and the principle behind the prohibition
5. Which Articles govern the CAG? Which committee examines the reports?
6. Distinguish propriety audit from performance audit

7. Graded Practice — 30 Questions ★★★★★

7.1 Level 1 — Recognition

Q1. The **primary** objective of an audit is (a) to detect fraud (b) to prevent errors (c) to prepare the financial statements (d) to express an opinion on whether the financial statements give a true and fair view

Q2. The detection of fraud is (a) the primary objective of an audit (b) a secondary or incidental objective (c) not an objective of audit at all (d) the sole objective of audit

Q3. The word "audit" is derived from a Latin word meaning (a) to hear (b) to see (c) to count (d) to write

Q4. Audit begins where (a) the accounting year begins (b) the auditor is appointed (c) accounting ends (d) the balance sheet is signed

Q5. Under the Companies Act, 2013 the auditor of a company must be (a) a cost accountant (b) a company secretary (c) an advocate (d) a chartered accountant

Q6. The eligibility, qualifications and disqualifications of a company auditor are dealt with in (a) section 139 (b) section 141 (c) section 143 (d) section 144

Q7. Audit working papers are the property of (a) the auditor (b) the client (c) the shareholders (d) the Registrar of Companies

Q8. The examination of documentary evidence in support of transactions is called (a) verification (b) valuation (c) vouching (d) noting

Q9. The description of an auditor as "a watchdog and not a bloodhound" comes from (a) Salomon's case (b) the Royal Bank case (c) Derry v Peek (d) the Kingston Cotton Mill case

Q10. Standards on Auditing in India are issued by (a) the Central Government (b) the Auditing and Assurance Standards Board of the ICAI (c) the National Financial Reporting Authority alone (d) the Securities and Exchange Board of India

7.2 Level 2 — Understanding

Q11. Verification of an asset covers (a) existence, ownership, possession, valuation and disclosure (b) physical existence only (c) ownership only (d) valuation only

Q12. Which one of the following is the **widest** in scope? (a) Internal check (b) Internal audit (c) Internal control (d) Test checking

Q13. An internal auditor is appointed by (a) the shareholders (b) the Comptroller and Auditor General (c) the National Company Law Tribunal (d) the management

Q14. Internal audit is made compulsory for prescribed classes of companies by (a) section 139 (b) section 138 (c) section 148 (d) section 204

Q15. Cost audit is provided for in (a) section 148 of the Companies Act, 2013 (b) section 44AB of the Income Tax Act, 1961 (c) section 204 of the Companies Act, 2013 (d) section 143 of the Companies Act, 2013

Q16. Examining a representative sample of transactions rather than all of them is called (a) routine checking (b) vouching (c) test checking (d) verification

Q17. An opinion expressed where misstatements are material but **not** pervasive is (a) an unmodified opinion (b) an adverse opinion (c) a disclaimer of opinion (d) a qualified opinion

Q18. An adverse opinion is expressed where misstatements are (a) immaterial (b) material and pervasive (c) material but not pervasive (d) incapable of detection

Q19. A disclaimer of opinion is issued where the auditor (a) is unable to obtain sufficient appropriate evidence and the possible effects are material and pervasive (b) finds no misstatement at all (c) finds an immaterial misstatement (d) resigns before the audit

Q20. The Comptroller and Auditor General of India is dealt with in which Articles of the Constitution? (a) Articles 108 to 111 (b) Articles 124 to 147 (c) Articles 148 to 151 (d) Articles 315 to 323

7.3 Level 3 — Recruitment Test standard

Q21. Which one of the following statements about the scope of an audit is **not** correct? (a) The scope is determined by the terms of engagement, the requirements of relevant legislation and the pronouncements of the ICAI (b) The terms of engagement cannot restrict the scope in relation to matters prescribed by legislation (c) The auditor is not expected to perform duties outside the scope of his competence (d) The audit guarantees the absolute accuracy of the financial statements

Q22. Consider the following statements:

1. An auditor expresses an opinion; he does not certify the correctness of the accounts.
2. An auditor is an insurer and a guarantor of the accuracy of the financial statements.
3. Audit evidence is generally persuasive rather than conclusive.

Which of the above statements are correct? (a) 1 and 2 only (b) 1 and 3 only (c) 2 and 3 only (d) 1, 2 and 3

Q23. Match List-I with List-II and select the correct answer using the code given below:

List-I	List-II
A. Vouching	1. Transactions and their documentary evidence
B. Verification	2. Assets and liabilities in the balance sheet
C. Internal check	3. Division of duties so that no one person handles a transaction completely
D. Propriety audit	4. The wisdom, faithfulness and economy of expenditure

(a) A-1 B-2 C-3 D-4 (b) A-2 B-1 C-4 D-3 (c) A-1 B-3 C-2 D-4 (d) A-3 B-2 C-1 D-4

Q24. Consider the following statements about statutory and internal audit:

1. A statutory auditor is appointed by the shareholders and an internal auditor by the management.

2. The scope of a statutory audit is determined by the management.
3. A statutory auditor reports to the shareholders.

Which of the above statements are correct? (a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q25. Under section 139(2), in the case of prescribed classes of companies, an **audit firm** may be appointed for a maximum of (a) one term of five consecutive years (b) one term of three consecutive years (c) three terms of five consecutive years (d) two terms of five consecutive years

Q26. Which one of the following services may an auditor **not** render to the company he audits? (a) The statutory audit itself (b) Internal audit (c) Attending the general meeting (d) Reporting a fraud

Q27. A performance audit examines (a) economy, efficiency and effectiveness (b) arithmetical accuracy only (c) statutory compliance only (d) the balance sheet only

Q28. Which one of the following statements is **not** correct? (a) Accounting is constructive whereas auditing is analytical (b) The audit report of a company is addressed to the members (c) An emphasis of matter paragraph amounts to a modification of the auditor's opinion (d) Accounting is a continuous process whereas audit is periodic

Q29. The reports of the Comptroller and Auditor General relating to the accounts of the Union are examined by (a) the Estimates Committee (b) the Committee on Public Undertakings (c) the Finance Commission (d) the Public Accounts Committee

Q30. Consider the following statements about an investigation as distinguished from an audit:

1. An investigation is undertaken for a specific purpose.
2. An investigation is always required by statute.
3. An investigation is not confined to a particular accounting period.

Which of the above statements are correct? (a) 1 and 2 only (b) 1 and 3 only (c) 2 and 3 only (d) 1, 2 and 3

8. Answers and Explanations

8.1 Level 1

Q	Ans	Explanation
1	d	To **express an opinion** on the true and fair view. Fraud detection is secondary — the single most reversed fact in the chapter
2	b	**Secondary or incidental.** It follows that the auditor gives reasonable, not absolute, assurance
3	a	*Audire*, **to hear** — accounts were once read aloud to those approving them
4	c	**Where accounting ends.** Accounting builds the records; audit examines them
5	d	A **chartered accountant**, or a firm where the majority of partners are so qualified — section 141
6	b	**Section 141.** Contrast 139 appointment, 143 duties, 144 prohibited services
7	a	The **auditor's** property. He may share portions at his discretion, but they are his
8	c	**Vouching** examines transactions; **verification** examines assets and liabilities
9	d	The **Kingston Cotton Mill** case. The other three are company-law cases placed there to be confused with it
10	b	The **AASB of the ICAI**. Contrast accounting standards, which the ASB recommends and the Central Government prescribes under section 133

8.2 Level 2

Q	Ans	Explanation
11	a	All five — **existence, ownership, possession, valuation and disclosure**. Valuation is **part of** verification, not separate from it
12	c	**Internal control** is the whole system; internal check and internal audit are parts of it. Internal check is the narrowest
13	d	The **management**, which is why he is not independent of it and why his scope is set by it
14	b	**Section 138**, for prescribed classes only. Section 139 is appointment of the statutory auditor
15	a	**Section 148** of the Companies Act, 2013. Section 44AB of the Income Tax Act is **tax** audit; section 204 is **secretarial** audit
16	c	**Test checking.** Routine checking is verification of totals, postings and balances
17	d	**Qualified** — material but not pervasive. Pervasiveness is what escalates it
18	b	**Material AND pervasive**, where a misstatement is actually found
19	a	**Evidence unobtainable**, with material and pervasive possible effects. Contrast the adverse opinion, where the auditor knows the statements are wrong
20	c	**Articles 148 to 151.** Articles 124 to 147 concern the Supreme Court; 315 to 323 the Public Service Commissions

8.3 Level 3

Q	Ans	Explanation
21	d	An audit does **not** guarantee absolute accuracy — it gives reasonable assurance, for the reasons in §2.3. The other three are correct statements of scope, and (b) is the important asymmetry: engagement terms may widen the scope but never narrow it below what statute requires
22	b	**1 and 3 only.** Statement 2 is false and is the classic inversion — the auditor is expressly **not** an insurer or guarantor
23	a	**A-1 B-2 C-3 D-4.** Vouch a transaction, verify an asset; internal check is the division of duties; propriety audit questions wisdom and economy
24	c	**1 and 3 only.** Statement 2 is false — a statutory auditor's scope is fixed by **statute**, not by management. Management sets the scope of the *internal* audit only
25	d	**Two terms of five consecutive years** for a firm; an individual gets **one** term of five. The two limits are each other's distractors
26	b	**Internal audit** is prohibited by **section 144**, on the principle that an auditor cannot audit his own work. The other three are ordinary parts of the role
27	a	**Economy, efficiency and effectiveness** — the three Es
28	c	An **emphasis of matter** paragraph draws attention to a matter already properly disclosed and is **not** a modification of the opinion. The other three are correct
29	d	The **Public Accounts Committee**. The Estimates Committee examines budget estimates; the COPU examines public undertakings
30	b	**1 and 3 only.** Statement 2 is false — an investigation is usually **voluntary**, whereas an audit is often statutory

THINK LIKE UPSC · THE FOUR SHAPES IN THIS CHAPTER

1. **The inversion.** Q21, Q22 and Q28 all work by removing a negative from a true statement. Learn the **four negatives** in §2.2 and you can spot the inverted option instantly
2. **The adjacent section.** Q6, Q14, Q15 and Q25 all depend on section numbers that sit near each other: **138 internal audit, 139 appointment, 141 qualifications, 143 duties, 144 prohibited services, 148 cost audit**. Recite them as a run
3. **The material-versus-pervasive grid.** Q17, Q18 and Q19 are one question asked three times. Draw the two-by-two and all three answer themselves
4. **The primary-versus-secondary reversal.** Q1 and Q2 are the same fact. Fraud detection is **incidental**, and everything about reasonable assurance follows from that

9. One-Minute Revision

ONE-MINUTE REVISION · CHAPTER F6.7

DEFINITION independent **examination** of financial information with a view to **expressing an opinion** · from Latin *audire*, **to hear**

OBJECTIVES primary = express an opinion on the true and fair view · secondary = detection and prevention of errors and frauds

ACCOUNTING vs AUDITING constructive vs analytical · continuous vs periodic · **audit begins where accounting ends**

AUDIT vs INVESTIGATION general vs **specific purpose** · statutory vs **voluntary** · a defined period vs **no fixed period**

SCOPE — THREE DETERMINANTS terms of engagement · relevant **legislation** · **ICAI** pronouncements. **Engagement terms cannot NARROW the statutory scope**

FOUR NEGATIVES no guarantee of **absolute accuracy** · expresses an **opinion**, does not **certify** · **not an insurer or guarantor** · not required to act beyond his **competence**

WHY NOT ABSOLUTE test checking · evidence **persuasive not conclusive** · inherent limits of internal control · judgement · time and cost

"WATCHDOG, NOT A BLOODHOUND" — Kingston Cotton Mill

TYPES statutory · internal (**s.138**) · **cost s.148** · **secretarial s.204** · **tax s.44AB Income Tax Act** · government (CAG) · **propriety** = wisdom, faithfulness, economy · **performance** = the three **Es**

STATUTORY vs INTERNAL appointed by **shareholders** vs **management** · scope by **statute** vs **management** · reports to **shareholders** vs **management**

BREADTH internal control widest » internal audit » **internal check** narrowest

WORKING PAPERS = PROPERTY OF THE AUDITOR

VOUCH A TRANSACTION, VERIFY AN ASSET · vouching » **P&L** · verification » **Balance Sheet** · verification = **existence, ownership, possession, valuation, disclosure — valuation is included**

EVIDENCE sufficient and appropriate · **persuasive, not conclusive**

FOUR OPINIONS unmodified · **qualified** (material, not pervasive) · **adverse** (material AND pervasive, misstatement found) · **disclaimer** (evidence unobtainable, material and pervasive) · **emphasis of matter is NOT a modification**

REPORT ADDRESSED TO THE MEMBERS

SECTIONS 138 internal audit · **139** appointment and rotation · **140** removal · **141** qualifications · **143** powers and duties · **144** prohibited services · **147** punishment · **148** cost audit

ROTATION s.139(2) individual **one** term of 5 years · firm **two** terms of 5 years

s.144 PROHIBITS internal audit · accounting and book-keeping · actuarial · investment advisory · management services — you cannot audit your own work

STANDARDS SAs by the **AASB of ICAI** · accounting standards by **ASB**, prescribed by Government under **s.133** · **NFRA is s.132**

CAG Articles 148–151 · appointed by the **President** · duties **Art 149** · reports examined by the **Public Accounts Committee** · guardian of the public purse

CARO 2020 additional reporting matters

10. Five-Minute Wall Sheet

FIVE-MINUTE WALL SHEET · CHAPTER F6.7

PRIMARY = OPINION · FRAUD DETECTION = SECONDARY

AUDIT BEGINS WHERE ACCOUNTING ENDS

SCOPE = ENGAGEMENT + LEGISLATION + ICAI · engagement can widen, **never narrow**

THE FOUR NEGATIVES no absolute accuracy · opinion not certificate · not an insurer · not beyond competence

WATCHDOG, NOT BLOODHOUND — KINGSTON COTTON MILL

INTERNAL CONTROL > INTERNAL AUDIT > INTERNAL CHECK

STATUTORY: SHAREHOLDERS APPOINT, STATUTE SETS SCOPE, MEMBERS GET THE REPORT

WORKING PAPERS = AUDITOR'S

VOUCH TRANSACTIONS (P&L) · VERIFY ASSETS (BALANCE SHEET) · VALUATION IS PART OF VERIFICATION

THE GRID misstatement + not pervasive = **qualified** · misstatement + pervasive = **adverse** · no evidence + pervasive = **disclaimer** · emphasis of matter = **not** a modification

SECTION RUN 138 · 139 · 140 · 141 · 143 · 144 · 147 · 148

ROTATION: INDIVIDUAL 1 × 5 · FIRM 2 × 5

SAs = AASB of ICAI · AS = ASB + Government s.133 · NFRA = s.132

CAG = ARTICLES 148–151 · PAC EXAMINES

PROPRIETY = WISDOM AND ECONOMY · PERFORMANCE = THREE Es

ONE LINE FOR THE INTERVIEW An audit gives reasonable assurance that financial statements are free from material misstatement — which is precisely why a clean audit report does not settle a Section 7A determination: an amount immaterial to a company's accounts as a whole can still be decisive for the provident fund dues of its workforce.

ACTION · NEXT IN THE FOUNDATION TRACK

Chapter F6.8 — Statistics. The last chapter of Module 6, and one that pays twice: statistics is part of syllabus head 5 *and* part of head 7, "Elementary Mathematics, Statistics and General Mental Ability", which feeds Module 8. Anything learned there is used in both places.

Before you move on, state without looking: the primary objective; the three determinants of scope and the one thing engagement terms cannot do; the four negatives; the breadth ranking of the three internals; the verification five; the opinion grid; and sections 138, 141, 143 and 144.